

Summary (100 Words)

The Capital Adequacy Requirements (CAR) Guideline 2024, effective January 2024, is issued by the Office of the Superintendent of Financial Institutions (OSFI) for Canadian banks. This comprehensive document establishes risk-based capital requirements covering nine main areas: risk overview, capital definition, operational risk, credit risk (standardized and internal ratings-based approaches), securitization, settlement and counterparty risk, credit valuation adjustment risk, and market risk. It includes Basel III reforms, reporting manuals, and implementation guidance for Internal Ratings-Based (IRB) institutions, addressing collateral management, risk quantification, rating validation, and data maintenance standards.

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OSFI's 2024 CAR Guideline establishes risk-based capital requirements for Canadian banks.